

JET, SET, NO

1992

Inception of Jet Airways; starts full-fledged operations in 1995

2004

Lists on the BSE
Acquires Air Sahara

2018

Jet Airways' offices raided by income tax officials over doubts on continuation of operations

2019

Suspends operations; files for bankruptcy after facing financial stress and competition from low-cost carriers

SBI-led lenders' consortium files insolvency petition in NCLAT

2020

Committee of Creditors (CoC) approves Jalan-Kalrock Consortium's (JKC) resolution plan

2021

NCLAT approves JKC resolution plan

2023

NCLAT gives JKC six more months to make payment and take over Jet Airways

Lenders approach NCLAT against transfer of ownership

JKC agrees to deposit ₹100 crore; lenders question source of money

2024

Supreme Court orders JKC to deposit ₹150 crore in an escrow account jointly held by SBI and JKC

On November 7, apex court orders liquidation due to non-implementation of bankruptcy resolution plan by JKC

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tribunal. These reports should also find legal backing of the tribunals, thus providing teeth to the process.

"However, failure to implement [resolution plans] should attract penal provisions and possibly a fresh resolution process to avoid value deterioration before commencing liquidation mechanically. We need to be looking at a stronger way of implementation, making sure whoever is buying these companies will ensure that they implement it," says Parti.

The five-year-long proceedings, leading up to the liquidation, poses questions on the loss of value incurred by the creditors. Parti questions this, saying, "Five years later, Jet is liquidated and if the implementation process had been robust and well defined in the code, so much of economic value would have been saved. Who wants to talk about five years of capital loss accrued to the creditors?" asks Parti.

IBC IN AVIATION

In addressing aviation insolvencies, IBC is seen as insufficient owing to the industry's unique characteristics—high value of leased aircraft and dissipation of working capital pose as challenges.

Soumitra Majumdar, Partner at law firm JSA Advocates & Solicitors, says the statutory moratorium, which provides a safe harbour to a corporate debtor and the resolution professional, is unavailable for airline companies.

"Thus, the aircraft and engines remain subject to the risk of re-possession by lessors, crippling the chances of revival," Majumdar tells *BT*.

In cases dealing with the aviation sector under the IBC, the government could look for mechanisms to secure payments of the lessors, disincentivising them from seeking re-possession, according to their pay-

ments' super priority, he says.

BRAND JET

What now happens to the brand built by Naresh Goyal?

Harish Bijoor, business & brand strategy specialist and Founder of consulting firm Harish Bijoor Consults, says post liquidation, people could look at picking up the label.

"The label has many things—its colour, identity, and something called brand equity kit and it is a very valuable one. The memory of the brand is on sale and people can look at picking it up when starting an airline. It had represented, at a point of time, the gold standard of service and delivery," Bijoor tells *BT*.

Now with a grounded Jet, hopes remain for a better functioning of the IBC to prevent further such value loss to creditors. *BT*

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